Economic Modelling 155 (2026) 107423

Contents lists available at ScienceDirect

Economic Modelling

journal homepage: www.journals.elsevier.com/economic-modelling

Common institutional ownership and corporate financial investment

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ARTICLE INFO

JEL classification:
G23
G31
G32
G34

Keywords:
Common institutional ownership
Corporate financial investment
Financing capacity
Operational efficiency
Innovation

ABSTRACT

Excessive financial investment can hinder corporate sustainable development and broader economic growth. However, the influence of common institutional ownership on corporate financial investment remains insufficiently studied. Using a sample of Chinese listed firms from 2009 to 2022, this study examines whether, and through which channels, common institutional ownership influences corporate financial investment. We find that common institutional ownership significantly curbs financial investment and exacerbates investment structure bias toward real investment. Mechanism tests indicate that common institutional ownership inhibits financial investment by strengthening financing capacity, improving operational efficiency, and increasing innovative activities. The financialization inhibitory effect is stronger for single-segment firms, those in less competitive industries, and firms located in regions with stronger future-oriented culture. In addition, common institutional ownership alleviates the negative impact of financialization on future corporate core performance. Overall, the findings provide novel empirical evidence on the positive role of common institutional ownership in supporting real economic development.

1. Introduction

Alongside declining market demand and falling returns on real investment, more firms are turning to higher-yield financial sectors for profit opportunities (Liu et al., 2023). This growing preference for financial over real investment has driven non-financial firms to expand their financial asset holdings, contributing to a rising trend of corporate financialization. Such financialization can heighten market volatility and weaken core business activities, pushing the real economy toward the virtual economy (Xu and Xuan, 2021; Wang et al., 2022). Emerging economies like China are particularly vulnerable to this "de-realization" problem due to immature financial systems and opaque information environments. The shift away from real economic activity threatens long-term development and increases financial system instability (Wang et al., 2022). Thus, identifying ways to curb economic virtualization is crucial for sustaining financial stability, mitigating risk, and fostering high-quality growth (Su and Liu, 2021). Against the backdrop of rising common institutional ownership in Chinese firms (Lewellen and Lowry, 2021), this study evaluates how common institutional ownership influences corporate financial investment, offering insights for sustainable economic development in emerging markets.

Prior literature shows that firms invest in financial sectors mainly for precautionary savings and investment substitution (Davis, 2017; Duchin et al., 2017). Common institutional ownership directly provides capital and facilitates external financing for real investment by improving the information environment (Chen et al., 2021), thereby enhancing corporate financing capability and reducing the need to hold financial assets for liquidity safeguards. In addition, common institutional investors, equipped with industry information and extensive resources, have stronger incentives and capabilities to participate in operational activities, improving productivity and stimulating innovation (Gao et al., 2019; Nizar et al., 2023). These improvements lessen corporate reliance on financial investment as a substitute for real investment, implying that common institutional ownership can suppress corporate financial investment.

This study concentrates on China for several reasons. First, emerging markets like China face downward pressure on the real economy and elevated business uncertainty, increasing corporate inclination toward financial investment. Thus, corporate financialization is especially prominent in China. Second, the Chinese government places strong emphasis on institutional investors due to weaker formal institutions and prevalent emotional trading. The concentrated ownership structure of Chinese firms also heightens expectations for institutional investors to play a monitoring role. With cross-holding activities among institutional

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https://doi.org/10.1016/j.econmod.2025.107423
Received 25 April 2025; Received in revised form 2 December 2025; Accepted 3 December 2025
Available online 4 December 2025
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investors rapidly increasing (Hou and Liu, 2023), the role of common institutional ownership in corporate business decisions deserves further investigation. Chinese listed firms therefore provide an appropriate setting to examine how common institutional ownership affects financial investment. This study deepens understanding of its role in corporate operations and offers a reference point for promoting real economic development in emerging markets.

Using Chinese listed firms from 2009 to 2022, this study employs ordinary least squares regressions and finds that common institutional ownership significantly reduces corporate financial investment and strengthens bias toward real investment. The finding remains consistent after using instrumental variable estimation, Heckman's two-stage approach, entropy balancing, and other robustness tests. Second, this study identifies three mechanisms through which common institutional ownership curtails financial investment: strengthened corporate financing capacity, improved operational efficiency, and increased innovation activities. Third, this study explores heterogeneity related to diversification strategies, industry competition, and regional culture. The inhibitory effect is stronger among single-segment firms, those in less competitive industries, and those located in regions with higher future orientation. Finally, this study examines the impact of common institutional ownership on the association between corporate financialization and future corporate core performance. The results indicate that common institutional ownership mitigates the negative effect of financialization on future corporate core performance, reinforcing its positive role in real economic development.

This study contributes to the literature in several ways. First, we extend research on the microeconomic effects of common institutional ownership. Existing studies have examined its impact on information transparency (Ramalingegowda et al., 2021), managerial incentives (Xu et al., 2023), and investment efficiency (Liu and He, 2024). This study extends the literature by indicating that common institutional ownership reduces financial investment and shifts investment structure toward real investment, which provides implications for addressing "de-realization" problem in emerging countries.

Second, we add to existing research on the intersection of corporate investment behavior and common institutional ownership. This study reveals that common institutional ownership strengthens financing capacity, improves operational efficiency, and increases innovation activities, thereby decreasing corporate financial investment. These results offer new evidence on the mechanisms through which common institutional ownership influences financial investment. In addition, this study examines how its effect varies across diversified strategies, industry competition, and regional culture. The findings highlight heterogeneous outcomes across different circumstances, providing a more nuanced understanding of how common institutional ownership interacts with corporate investment behavior.

Third, this study offers practical implications for developing economies. For firms, the findings underscore the value of introducing common institutional ownership to enhance financing capacity and business operations. For policymakers, the results provide guidance on designing policies that encourage common institutional investors to participate in corporate activities and promote core performance. Moreover, the findings indicate that common institutional ownership has a stronger effect in regions with higher future orientation, which suggests that local governments should cultivate business environments conducive to long-term investment.

This study is related to, but distinct from, Deng et al. (2023) and Li et al. (2024). While Deng et al. (2023) documented that common institutional ownership promotes financialization by exacerbating agency conflicts, Li et al. (2024) found the opposite. This study differs from both in three ways. First, neither considered corporate financing capacity, whereas we show that enhanced financing capacity is an important channel through which common institutional ownership reduces financial investment. Second, they overlook the potential substitution effect between financial and real investment. This study provides evidence that common institutional ownership improves operating profitability through greater operational efficiency and innovation, thereby lowering the appeal of highly-yield financial investment. Third, this study explores in depth how firm strategies and external environments impact the relationship between common institutional ownership and financial investment.

2. Literature review and hypothesis development

2.1. Corporate financial investment

The excess capacity and decline in demand have sharply reduced returns in real sectors, making financial investment increasingly attractive to firms. In 2009, China's financial sector generated about 2.18 trillion RMB in value-added, or 6.3 % of GDP; by 2022, these figures rose to RMB 7.71T and 7.7 %. As a result, the share of financial added value now matches or even exceeds levels in developed economies. According to WIND, 1089 listed firms purchased RMB 1.07T in financial products by 2022. Meanwhile, the proportion of China's industrial added value decreased from 45.96 % in 2009 to 33.2 % in 2022. These trends signal rising financialization and economic virtualization in China, prompting serious concern among scholars and governments (Li and Shen, 2023).

Financial assets support liquidity storage and capital arbitrage due to their high liquidity and profitability. Previous studies have identified precautionary savings and investment substitution as two key motives for financial investment. On the one hand, financial assets can be quickly converted into cash, offering firms a timely buffer when internal funds are insufficient (Duchin et al., 2017). Therefore, firms often hold short-term financial assets to address potential liquidity shortages and mitigate operating uncertainty (Opler et al., 1999; Shu et al., 2020). On the other hand, the relatively higher yields of financial investments encourage firms to seek short-term profits in financial markets rather than allocate resources to research and development (R&D) or tangible assets, which can undermine core business activities (Demir, 2009; Davis, 2017).

Existing literature has highlighted macroeconomic and firm-level drivers of financial investment. Economic policy uncertainty shows a U-shaped relationship with financial investment (Zhao and Su, 2022). Expansionary monetary policy and local gambling culture increase financial investment (Zhang and Zheng, 2020; Xue et al., 2023; Zuo et al., 2024), while tax incentives and fintech development help restrain financialization (Li and Shen, 2023; Wang and Hu, 2023). At the firm level, scholars show that corporate governance (Feng et al., 2022; Liu et al., 2023), ownership structure (Jiang et al., 2022; Xie et al., 2024), and managerial characteristics (Tang, 2024; Li and Hua, 2025) can influence corporate financial investment. However, findings on how common institutional ownership affects financial investment remain mixed (Deng et al., 2023; Li et al., 2024), which requires further investigation.

2.2. Common institutional ownership and corporate financial investment

In terms of precautionary savings, common institutional investors help firms ease financial constraints and mitigate operational risks, thereby reducing the need to hold financial assets for liquidity protection. On the one hand, common institutional investors provide capital directly through equity investment and improve corporate ability to raise external funds by enhancing information transparency, which reduces financing constraints and concerns about future cash shortages (Chen et al., 2021). On the other hand, common ownership plays a pivotal role in gathering and transmitting market information, giving managers access to current information and reducing uncertainty about operations, which in turn diminishes the incentive to hold financial assets for precautionary reasons (Zhang et al., 2023; Su et al., 2024).

In terms of investment substitution, cross-holding encourages

institutional investors to engage more actively in corporate operations and decision-making, thereby reducing profit-seeking motives for financial investment. Under agency theory, common ownership increases monitoring incentives and capabilities, prompting firms to focus on core business and reduce opportunistic behaviors. On the one hand, cross-ownership spreads monitoring costs and improves information access, strengthening institutional investors' ability to oversee firm decisions (Edmans et al., 2019; He et al., 2019). On the other hand, cross-holding activities within the same industry facilitate institutional investors to build industry expertise, enhancing their capacity to improve investment efficiency and productivity, which raises core business profit margins (Bai et al., 2023; Nizar et al., 2023). Moreover, common ownership enables institutional investors to be more tolerant of failures and facilitates cooperation among portfolio firms, which increases corporate innovation incentives and efficiency (Gao et al., 2019; Li et al., 2023). Drawing on resource-limited theory, greater innovation investment can restrict the diversion of funds to speculative financial activities. Based on the above analysis, we propose the following hypothesis:

Hypothesis 1. Common institutional ownership reduces corporate financial investment.

We contend that common institutional ownership improves corporate financing capacity by reducing the cost of equity financing and short-term loan dependency, thereby alleviating precautionary saving motives for financial investment. Empirical evidence has shown that financial constraints are central to corporate investment decisions (Fazzari et al., 1988). Firms facing tighter constraints have limited internal funds and therefore rely more heavily on external financing, which incentivizes managers to hold financial assets to safeguard liquidity and reduce operating risk. On the one hand, common institutional ownership can reduce disclosure costs and earnings management, which improves the accuracy and quantity of disclosure (Park et al., 2019; Ramalingegowda et al., 2021). Better information transparency mitigates adverse selection concerns, enabling firms to obtain external funding at lower costs and decreasing incentives to hold financial assets for capital savings (Chen et al., 2021). On the other hand, common institutional investors' information advantages and regular communication provide managers with timely external information and resources, which increases operational transparency and reduces reliance on short-term loans, further weakening precautionary saving motives (Bloom et al., 2007). Collectively, we propose the following hypothesis:

Hypothesis 2. Common institutional ownership reduces corporate financial investment by strengthening financing capacity.

We posit that common institutional ownership enhances business operations by improving operational efficiency and fostering innovation, which increases profits from real investment and reduces investment substitution motives for financial investment. Common ownership enables institutional investors to cultivate industry expertise and amass information resources (Hui et al., 2016). Therefore, they exert greater influence over business decisions through their information advantages and management experience, which improves resource allocation and operational efficiency (Nizar et al., 2023). Higher efficiency increases profit margins, diminishing corporate incentives to pursue high-yield financial investments (Cohen and Li, 2020; Su et al., 2024). Meanwhile, the monitoring role of common institutional investors discourages excessive financial investment for short-run gains and motivates firms to pursue innovation for long-term development. By encouraging information sharing and cooperation across portfolio firms, common ownership lowers innovation costs and failure risks, thereby increasing corporate willingness to innovate (Gao et al., 2019; Li et al., 2023). Innovation, as a driver of productivity and operating profits (Acemoglu et al., 2018), further reduces the appeal of allocating funds to financial assets (Guo et al., 2023; Zhang et al., 2023). Based on the above analysis, we propose the following hypothesis:

Hypothesis 3. Common institutional ownership reduces corporate financial investment by increasing operational efficiency and innovation activities.

Based on the aforementioned analysis, Fig. 1 presents the research framework that illustrates how common institutional ownership affects corporate financial investment.

3. Data

3.1. Sample selection

This study examined Chinese firms listed on the Shanghai and Shenzhen Stock Exchanges from 2009 to 2022. Data were obtained from the China Stock Market and Accounting Research (CSMAR) database. To ensure reliability, we excluded firms in the financial industry and those designated as ST or PT, and we removed observations with missing values. All variables were winsorized at the top and bottom 1 % to reduce the influence of extreme values. The final sample included 16,590 firm-year observations across 2643 firms.

3.2. Measuring corporate financial investment

Although many studies have measured corporate financial investment using the proportion of financial assets, this measure can be affected by changes in other asset categories. To avoid distortions arising from shifts in nonfinancial assets, we use the growth rate of financial assets (*Fingrowth*) following Peng et al. (2018). *Fingrowth* is calculated as the first-order difference in the natural logarithm of financial assets. This dynamic metric captures financialization more directly by reflecting only changes in financial assets.

3.3. Measuring common institutional ownership

Following He and Huang (2017), we classified a common institutional investor as one holding at least 5 % ownership in two or more firms within the same industry. We use two proxies for common institutional ownership (Cheng et al., 2022). The first is a dummy variable, *Crossdum*, equal to 1 if the firm is held by at least one common institutional investor in any quarter, and 0 otherwise. The second, *Crossnum*, is the natural logarithm of one plus the quarterly average number of common institutional investors in a given year.

3.4. Control variables

Following Peng et al. (2018) and Wang and Hu (2023), we control for several firm characteristics that may affect financial investment: Tobin's Q (*TobinQ*) estimated by dividing market value by total assets, firm size (*Size*) taken as the natural logarithm of total assets, leverage ratio (*Lev*) measured as the ratio of total debt to total assets, return on assets (*Roa*), revenue growth (*Growth*), the ratio of tangible assets to total assets (*Tangible*), the shareholding of the largest shareholder (*Top1*), the shareholding of institutional investors (*Insown*), the shareholding of independent directors (*Inddirector*), board size (*Board*), and CEO duality (*Dual*). Detailed definitions of variables are provided in the Appendix.

3.5. Empirical specification

To investigate the impact of common institutional ownership on corporate financial investment, we propose the following model:

$$Fingrowth_{i,t} = \beta_0 + \beta_1 CommonIns_{i,t-1} + \beta_c Controls_{i,t-1} + Year_t + Ind_i + \varepsilon_{i,t} \quad (1)$$

where *Fingrowth* denotes corporate financial investment and *CommonIns* represents common institutional ownership measured by *Crossdum* or *Crossnum*. The coefficient β_1 captures the effect of common institutional

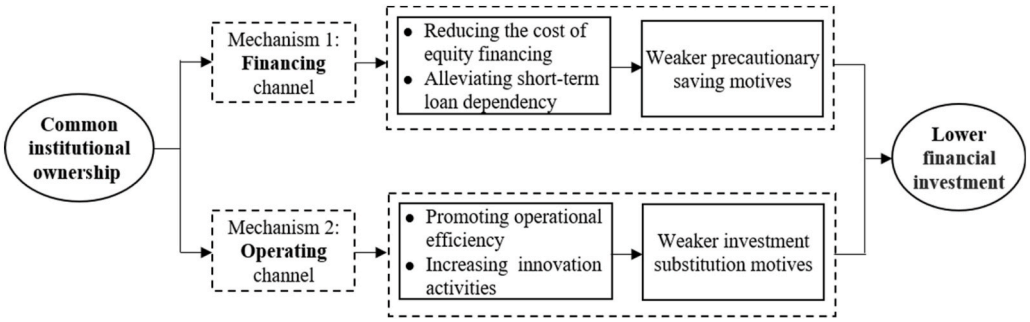

Fig. 1. Mechanism diagram of the impact of common institutional ownership on corporate financial investment.

ownership on corporate financial investment. $Year_t$ and Ind_i represent year and industry fixed effects, respectively.

3.6. Descriptive statistics

Table 1 reports descriptive statistics for *Fingrowth*, common institutional ownership (*Crossdum* and *Crossnum*), and firm-level controls. The mean of *Fingrowth* is 0.2458 with a standard deviation of 0.8405, indicating substantial variation in financialization among Chinese listed firms. The mean of *Crossdum* is 0.1657, indicating that 16.57 % of firms have common institutional ownership. The descriptive statistics of *TobinQ*, *Growth*, and other variables are in the normal range, aligning with previous literature on the Chinese market (Wu and Lu, 2023).

4. Results

4.1. Baseline results

Columns (1)–(4) of Table 2 report the baseline regression results of Eq. (1). Columns (1) and (3) include year and industry fixed effects without control variables, while Columns (2) and (4) incorporate all control variables. The results indicate that the coefficients of *Crossdum* and *Crossnum* are negative and significant at the 1 % level, suggesting that common institutional ownership reduces corporate financial investment. Regarding economic significance, Column (2) shows that firms with common institutional ownership have an average financial investment growth rate 22.78 % lower than firms without it (0.0560/0.2458). In Column (4), a one standard deviation increase in *Crossnum* leads to an 8.69 % decline relative to the average (0.0858 × 0.2490/0.2458). Therefore, in terms of both statistical and economic significance, common institutional ownership plays a significant role in curbing corporate financial investment, supporting Hypothesis 1.

We further examine whether common institutional ownership influences corporate investment patterns. We use the adjustment rate of corporate investment structure (*Vtr*) to capture corporate inclination to "shift from virtual to real". *Vtr* is calculated as the first-order difference between the ratio of real assets to total assets and the ratio of financial assets to total assets. A higher *Vtr* implies a higher tilt toward real investment, and it is calculated only when the signs of the first-order changes in real and financial asset ratios differ. Columns (5) and (6) of Table 2 show that the coefficients of *Crossdum* and *Crossnum* are positive and significant, indicating that common institutional ownership is associated with a stronger movement from financial to real investment. These findings imply that common institutional ownership reduces financial investment and exacerbates corporate bias toward real investment.

4.2. Endogeneity

First, we employ an instrumental variable approach to mitigate potential reverse causality between common institutional ownership and financial investment. We use the proportion of firms with common institutional investors within the same province (*Proratio*) as the instrument variable. For relevance, firms in the same region share similar contextual characteristics (Liang et al., 2024), making those in provinces with more firms held by common institutional investors more likely to be similarly held. For exogeneity, provincial-level characteristics do not directly affect firm-specific financial investment decisions. Columns (1) and (3) of Table 3 show that the coefficients on *Proratio* are significantly positive. Meanwhile, the Cragg–Donald Wald F statistic and Kleibergen–Papp Wald F statistic exceed the Stock–Yogo threshold of 16.38, confirming instrument validity. Columns (2) and (4) show that the coefficients of *Crossdum* and *Crossnum* remain significantly negative.

Second, we employ Heckman's two-stage method to mitigate the risk of sample selection bias. In the first stage, we estimate a Probit model of *Crossdum* on *Proratio* and control variables, and compute the inverse

Table 1
Descriptive statistics.

Variable	N	Mean	Standard Deviation	Min	Median	Max
Fingrowth	16,590	0.2458	0.8405	−2.7434	0.0587	4.2696
Crossdum	16,590	0.1657	0.3718	0.0000	0.0000	1.0000
Crossnum	16,590	0.1050	0.2490	0.0000	0.0000	1.0116
TobinQ	16,590	2.1004	1.3041	0.8710	1.6771	8.2703
Size	16,590	22.2164	1.2701	19.2259	22.0430	25.9501
Lev	16,590	0.4581	0.2068	0.0532	0.4571	0.9994
Roa	16,590	0.0374	0.0555	−0.3420	0.0344	0.2055
Growth	16,590	0.4303	1.2133	−0.8011	0.1345	8.3508
Tangible	16,590	0.2316	0.1714	0.0021	0.1962	0.7294
Top1	16,590	0.3548	0.1526	0.0880	0.3360	0.7510
Insown	16,590	0.4963	0.2399	0.0010	0.5158	0.9536
Inddirector	16,590	0.3710	0.0539	0.0000	0.3333	0.5714
Board	16,590	2.1627	0.1991	1.6094	2.1972	2.7081
Dual	16,590	0.2176	0.4126	0.0000	0.0000	1.0000

Note: This table reports descriptive statistics of the variables used in the baseline model. The sample includes 16,590 firm-year observations of Chinese listed firms from 2009 to 2022. Detailed definitions of all variables are provided in the Appendix.

Table 2
Common institutional ownership and corporate financial investment.

Variable	(1)	(2)	(3)	(4)	(5)	(6)
	Fingrowth	Fingrowth	Fingrowth	Fingrowth	Vtr	Vtr
Crossdum	−0.0797***	−0.0560***			0.5842*	
	(−5.5501)	(−3.6479)			(1.9580)	
Crossnum			−0.1231***	−0.0858***		0.7322*
			(−5.8713)	(−3.7523)		(1.6724)
TobinQ		0.0072		0.0073	−0.6894***	−0.6894***
		(0.9628)		(0.9758)	(−5.2277)	(−5.2236)
Size		0.0055		0.0060	−0.2801**	−0.2777**
		(0.7743)		(0.8452)	(−2.1706)	(−2.1401)
Lev		−0.1128***		−0.1139***	0.6936	0.6968
		(−2.6712)		(−2.6954)	(0.8760)	(0.8797)
Roa		0.8515***		0.8464***	10.0792***	10.0767***
		(5.8262)		(5.7810)	(3.4193)	(3.4171)
Growth		0.0051		0.0050	−0.2198**	−0.2198**
		(0.9911)		(0.9778)	(−2.2206)	(−2.2206)
Tangible		0.1059**		0.1062**	−13.1734***	−13.1656***
		(2.3808)		(2.3874)	(−14.5870)	(−14.5823)
Top1		0.0436		0.0426	−0.0091	−0.0289
		(0.8973)		(0.8745)	(−0.0109)	(−0.0347)
Insown		−0.0754**		−0.0743**	1.3406**	1.3651**
		(−1.9998)		(−1.9645)	(2.2898)	(2.3291)
Inddirector		0.0770		0.0802	1.1312	1.0931
		(0.6274)		(0.6526)	(0.5232)	(0.5051)
Board		−0.0543		−0.0527	1.5358**	1.5226**
		(−1.5273)		(−1.4828)	(2.5588)	(2.5340)
Dual		0.0485***		0.0488***	−0.1958	−0.1995
		(2.8409)		(2.8557)	(−0.7216)	(−0.7356)
Constant	0.2590***	0.2117	0.2588***	0.1951	4.5901	4.5926
	(39.3455)	(1.3057)	(39.7490)	(1.1915)	(1.5788)	(1.5659)
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes
Adj.R^2	0.0116	0.0170	0.0117	0.0170	0.0710	0.0708
N	16,590	16,590	16,590	16,590	8252	8252

Note: This table reports the regression of common institutional ownership measured by *Crossdum* and *Crossnum* on corporate financial investment measured by *Fingrowth* and corporate investment structure bias measured by *Vtr*, respectively. Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

Mills ratio (*IMR*). In the second stage, we include *IMR* in the baseline model to rule out the effect of selection bias. Columns (1) and (2) of Table 4 present the second-stage results. The coefficients on *Crossdum* and *Crossnum* are −0.0395 and −0.0646, respectively.

Finally, we use entropy balancing to further address selection bias (Hainmueller, 2012). We divide the sample into a treatment group with common institutional ownership and a control group without it, and balance all covariates. We then re-estimate the baseline model using the weighted sample. Columns (3) and (4) of Table 4 show results consistent with our initial findings.

4.3. Robustness tests

First, referring to Li et al. (2024), we replace *Fingrowth* with the ratio of financial assets to total assets (*Finratio*) and employ the system-generalized method of moments model. Columns (1) and (2) of Table 5 report the results. The Arellano-Bond tests and Hansen statistic indicate no second-order autocorrelation and overidentification. The coefficients of *Crossdum* and *Crossnum* are significantly negative at the 1 % level, consistent with the baseline results. Second, we use an alternative variable, the quarterly average of the shareholdings of all common institutional investors in a year (*Crossown*), to measure common institutional ownership. Column (3) shows that the coefficient of *Crossown* is −0.1854 with significance at the 1 % level. Third, following the literature (Gao et al., 2019), we use alternative thresholds of 3 % and 10 % to identify common institutional investors and recalculate *Crossdum* and *Crossnum*. Columns (4)–(7) show a significantly negative association between common institutional ownership and corporate financial investment. Fourth, we conduct placebo tests by randomly matching values of *Crossdum* and *Crossnum* with each firm-year observation. Columns (8) and (9) show that the coefficients of *Crossdum* and *Crossnum* are not statistically significant, confirming that the baseline results are not driven by confidence. Finally, we control for time-varying industry fixed effects to minimize the potential impact of macroeconomic factors on the baseline findings, such as industry-level policies. Columns (10) and (11) show that the coefficients of *Crossdum* and *Crossnum* remain significantly negative.

5. Mechanism analysis

5.1. Financing channel

In this subsection, we examine the financing channel through which common institutional ownership restrains corporate financial investment, focusing on equity financing costs and short-term loan dependency. Consistent with Ohlson and Juettner-Nauroth (2005), we calculate the cost of equity financing (*Peg*) as follows:

$$Peg = \sqrt{(eps2 - eps1)/p0} \tag{2}$$

Where *eps1* and *eps2* represent forecasted earnings per share for years $t+1$ and $t+2$, *p0* is the closing share price at the end of year *t*.

We measure short-term loan dependency (*Sld*) as the ratio of short-term borrowings and long-term borrowings due within 1 year to total assets. Table 6 shows that the coefficients of *Crossdum* and *Crossnum* are significantly negative at the 1 % level, indicating that common institutional ownership reduces equity financing costs and short-term loan dependency. These findings imply that common institutional ownership strengthens corporate financing capacity, which mitigates the need for capital savings through financial investment, thereby supporting Hypothesis 2.

Table 3
Instrumental variable (IV) estimation results.

Variable	(1)	(2)	(3)	(4)
	Crossdum	Fingrowth	Crossnum	Fingrowth
Proratio	0.7880***		0.5150***	
	(9.8905)		(9.7384)	
Crossdum		−0.5275***		
		(−4.7501)		
Crossnum				−0.8071***
				(−4.7285)
TobinQ	0.0087**	0.0124	0.0068**	0.0133*
	(1.9694)	(1.5574)	(2.3687)	(1.6680)
Size	0.0541***	0.0338***	0.0417***	0.0389***
	(6.7093)	(3.2804)	(7.1401)	(3.4909)
Lev	−0.0183	−0.1273***	−0.0247	−0.1376***
	(−0.5267)	(−2.7981)	(−1.0722)	(−2.9959)
Roa	−0.3422***	0.6604***	−0.2834***	0.6122***
	(−3.9298)	(4.1085)	(−4.6639)	(3.6890)
Growth	−0.0004	0.0057	−0.0010	0.0051
	(−0.1301)	(1.0625)	(−0.5250)	(0.9442)
Tangible	0.0992**	0.1520***	0.0688**	0.1551***
	(2.1057)	(2.9504)	(2.0845)	(2.9530)
Top1	−0.2234***	−0.0592	−0.1582***	−0.0691
	(−4.8016)	(−1.0156)	(−4.9339)	(−1.1584)
Insown	0.2793***	0.0630	0.1955***	0.0735
	(10.1346)	(1.2244)	(10.0698)	(1.3851)
Inddirector	0.0379	0.1088	0.0611	0.1381
	(0.3239)	(0.8068)	(0.7657)	(1.0087)
Board	0.0514	−0.0283	0.0516*	−0.0137
	(1.3784)	(−0.7244)	(1.9496)	(−0.3396)
Dual	−0.0257**	0.0333*	−0.0142*	0.0354*
	(−2.3794)	(1.8133)	(−1.9080)	(1.9246)
Constant	−1.4532***	−0.5103**	−1.1656***	−0.6845**
	(−7.9381)	(−2.1217)	(−8.6111)	(−2.5375)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
N	16,590	16,590	16,590	16,590
Kleibergen–Papp LM statistic	84.713***		82.831***	
Cragg–Donald Wald F statistic	434.824		424.209	
Kleibergen–Papp Wald F statistic	97.821		94.835	

Note: This table reports IV estimation results with the instrument variable (*Proratio*), which is the proportion of firms with common institutional investors within the same province. Standard errors are clustered by firm. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

Table 4
Heckman's two-stage method and entropy balancing regression results.

Variable	(1)	(2)	(3)	(4)
	Fingrowth	Fingrowth	Fingrowth	Fingrowth
Crossdum	−0.0395**		−0.0511***	
	(−2.4499)		(−3.4299)	
Crossnum		−0.0646***		−0.0774***
		(−2.7242)		(−3.4650)
IMR	0.1547***	0.1542***		
	(6.6049)	(6.5907)		
TobinQ	0.0135*	0.0136*	0.0262**	0.0264**
	(1.6917)	(1.7016)	(2.3836)	(2.4056)
Size	0.0310***	0.0314***	0.0012	0.0021
	(3.8760)	(3.9268)	(0.1560)	(0.2590)
Lev	−0.0597	−0.0607	−0.0327	−0.0341
	(−1.3646)	(−1.3865)	(−0.5760)	(−0.6005)
Roa	0.6213***	0.6164***	0.5778***	0.5615***
	(3.9613)	(3.9245)	(3.1805)	(3.0801)
Growth	0.0014	0.0014	−0.0020	−0.0023
	(0.2682)	(0.2600)	(−0.3204)	(−0.3668)
Tangible	0.1244***	0.1249***	0.0700	0.0708
	(2.7169)	(2.7279)	(1.3808)	(1.3950)
Top1	−0.1194**	−0.1205**	−0.0767	−0.0827
	(−2.1164)	(−2.1350)	(−1.2723)	(−1.3679)
Insown	0.1238**	0.1251**	0.0408	0.0503
	(2.4503)	(2.4742)	(0.7547)	(0.9190)
Inddirector	0.1418	0.1440	−0.0655	−0.0597
	(1.0918)	(1.1083)	(−0.4359)	(−0.3978)
Board	−0.0451	−0.0437	−0.0166	−0.0124
	(−1.2141)	(−1.1773)	(−0.4022)	(−0.3029)
Dual	0.0198	0.0200	0.0769***	0.0768***
	(1.0826)	(1.0917)	(2.8286)	(2.8181)
Constant	−0.7450***	−0.7585***	0.1817	0.1477
	(−3.5929)	(−3.6518)	(1.0716)	(0.8620)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Adj.R^2	0.0181	0.0181	0.0134	0.0135
N	14,760	14,760	16,590	16,590

Note: This table reports the second-stage results of the Heckman's two-stage regressions and the entropy balancing regression results. Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

5.2. Operating channel

In this subsection, we examine the operating channel through which common institutional ownership reduces corporate financial investment, focusing on operational efficiency and innovation activities. Following Su et al. (2024), we use the total asset turnover ratio (*AT*), defined as sales divided by total assets, to capture operational efficiency. A higher *AT* indicates greater efficiency. Following Zhang et al. (2023), we use the R&D investment divided by total assets (*RD*) to measure innovation activities. Table 7 reports regression results and shows that the coefficients on *Crossdum* and *Crossnum* are positive and significant, suggesting that common institutional ownership improves operational efficiency and innovation inputs. Consistent with Hypothesis 3, the finding indicates that common institutional ownership promotes operational efficiency and innovation activities, which reduces the appeal of high-yield financial investments.

6. Additional tests

6.1. Impact of corporate diversified strategies

Diversified strategies reduce the volatility of corporate internal cash flows and financial distress risk (Singhal and Zhu, 2013), thereby weakening precautionary saving motives for financial investment. Diversified firms can also access internal capital markets to finance projects, reducing dependence on external financing and easing constraints (Ahn et al., 2006). Consequently, we expect the effect of common institutional ownership on corporate financial investment to be stronger among single-segment firms. Following Anderson et al. (2000), we define a diversification dummy (*Dyh*) equal to 1 if a firm operates in at least two industries and 0 otherwise. Table 8 shows that the coefficients on *Crossdum* × *Dyh* and *Crossnum* × *Dyh* are significantly positive, suggesting that the inhibitory effect is more pronounced in single-segment firms.

6.2. Impact of industry competition

Previous studies have shown that industry competition disciplines managerial behavior and strengthens corporate governance (Giroud and Mueller, 2010; Babar and Habib, 2021). When competition is weak, higher information asymmetry and lower performance pressure may motivate managers to pursue financial investments for private gains. Consequently, common institutional ownership should exert a stronger inhibitory effect in less competitive industries. Following Giroud and Mueller (2010), we use the Herfindahl-Hirschman index (HHI) to measure the degree of industry competition, which is calculated as the sum of squared market shares within an industry. A higher HHI indicates lower industry competition. We define *HighHHI* = 1 if an industry's HHI is above the index median in a given year. Table 9 shows that the coefficients on *Crossdum* × *HighHHI* and *Crossnum* × *HighHHI* are significantly negative. Therefore, the role of common institutional ownership

Table 5
Robustness tests.

Variable	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
	Finratio	*Finratio*	*Fingrowth*	*Fingrowth*	*Fingrowth*	*Fingrowth*	*Fingrowth*	*Fingrowth*	*Fingrowth*	*Fingrowth*	*Fingrowth*
Crossdum	−0.0031***			−0.0416***		−0.0647***		−0.0134		−0.0554***	
	(−3.2191)			(−2.9578)		(−3.5542)		(−0.7575)		(−3.5961)	
Crossnum		−0.0052***			−0.0600***		−0.1120***		−0.0229		−0.0832***
		(−3.7601)			(−3.0413)		(−3.7456)		(−0.8761)		(−3.6240)
Crossown			−0.1854***								
			(−4.1855)								
L.Finratio	0.9002***	0.9003***									
	(33.0360)	(33.0417)									
TobinQ	−0.0002	−0.0002	0.0073	0.0073	0.0074	0.0069	0.0070	0.0065	0.0065	0.0025	0.0026
	(−0.4604)	(−0.4466)	(0.9796)	(0.9873)	(0.9944)	(0.9297)	(0.9400)	(0.8814)	(0.8825)	(0.3338)	(0.3448)
Size	0.0024***	0.0025***	0.0060	0.0045	0.0051	0.0054	0.0058	0.0021	0.0020	0.0034	0.0038
	(4.5682)	(4.6681)	(0.8359)	(0.6411)	(0.7204)	(0.7604)	(0.8123)	(0.2940)	(0.2899)	(0.4702)	(0.5325)
Lev	−0.0142***	−0.0142***	−0.1144***	−0.1100***	−0.1111***	−0.1138***	−0.1142***	−0.1106***	−0.1104***	−0.1124***	−0.1134***
	(−4.0897)	(−4.0981)	(−2.7063)	(−2.6030)	(−2.6299)	(−2.6967)	(−2.7067)	(−2.6125)	(−2.6083)	(−2.6511)	(−2.6734)
Roa	−0.0216*	−0.0218*	0.8414***	0.8709***	0.8655***	0.8539***	0.8522***	0.8747***	0.8747***	0.8180***	0.8133***
	(−1.6904)	(−1.7084)	(5.7416)	(5.9594)	(5.9208)	(5.8409)	(5.8296)	(5.9835)	(5.9833)	(5.5938)	(5.5515)
Growth	0.0002	0.0002	0.0050	0.0051	0.0050	0.0048	0.0048	0.0050	0.0050	0.0037	0.0036
	(0.5452)	(0.5391)	(0.9736)	(0.9902)	(0.9653)	(0.9320)	(0.9254)	(0.9755)	(0.9738)	(0.7001)	(0.6876)
Tangible	−0.0072*	−0.0071*	0.1055**	0.1035**	0.1036**	0.1055**	0.1063**	0.1004**	0.1005**	0.0958**	0.0959**
	(−1.7879)	(−1.7488)	(2.3705)	(2.3302)	(2.3311)	(2.3748)	(2.3912)	(2.2567)	(2.2585)	(2.1669)	(2.1694)
Top1	−0.0106***	−0.0107***	0.0602	0.0335	0.0347	0.0482	0.0480	0.0560	0.0562	0.0317	0.0309
	(−3.0513)	(−3.0769)	(1.2460)	(0.6820)	(0.7033)	(0.9919)	(0.9887)	(1.1581)	(1.1604)	(0.6496)	(0.6326)
Insown	0.0003	0.0004	−0.0780**	−0.0700*	−0.0706*	−0.0816**	−0.0812**	−0.0917**	−0.0916**	−0.0727*	−0.0720*
	(0.1429)	(0.1907)	(−2.0843)	(−1.8324)	(−1.8389)	(−2.1781)	(−2.1699)	(−2.4708)	(−2.4692)	(−1.9152)	(−1.8914)
Inddirector	−0.0061	−0.0060	0.0758	0.0763	0.0773	0.0816	0.0835	0.0738	0.0741	0.0901	0.0931
	(−0.7360)	(−0.7125)	(0.6165)	(0.6211)	(0.6295)	(0.6640)	(0.6791)	(0.5997)	(0.6020)	(0.7278)	(0.7518)
Board	−0.0053**	−0.0052**	−0.0555	−0.0558	−0.0544	−0.0554	−0.0550	−0.0574	−0.0574	−0.0525	−0.0510
	(−2.0916)	(−2.0396)	(−1.5600)	(−1.5681)	(−1.5267)	(−1.5600)	(−1.5472)	(−1.6044)	(−1.6048)	(−1.4766)	(−1.4341)
Dual	−0.0001	−0.0001	0.0484***	0.0493***	0.0493***	0.0489***	0.0487***	0.0504***	0.0504***	0.0473***	0.0476***
	(−0.1078)	(−0.1046)	(2.8403)	(2.8898)	(2.8929)	(2.8612)	(2.8515)	(2.9579)	(2.9578)	(2.7564)	(2.7738)
Constant	−0.0115	−0.0130	0.1990	0.2379	0.2201	0.2136	0.2035	0.2926*	0.2931*	0.2670	0.2521
	(−1.1305)	(−1.2682)	(1.2169)	(1.4718)	(1.3487)	(1.3142)	(1.2468)	(1.8231)	(1.8260)	(1.6350)	(1.5288)
FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	16,590	16,590	16,590	16,590	16,590	16,590	16,590	16,590	16,590	16,567	16,567
AR (1)	0.000	0.000									
AR (2)	0.677	0.678									
Hansen	0.257	0.260									

Note: This table reports robustness tests. Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

Table 6
Mechanism analysis: Financing channel.

Variable	(1)	(2)	(3)	(4)
	Peg	Peg	Sld	Sld
Crossdum	−0.0037***		−0.0177***	
	(−2.9287)		(−4.4527)	
Crossnum		−0.0054***		−0.0308***
		(−2.6530)		(−5.1861)
TobinQ	−0.0023***	−0.0023***	−0.0058***	−0.0057***
	(−5.1869)	(−5.1764)	(−5.0387)	(−4.9849)
Size	0.0044***	0.0045***	−0.0088***	−0.0084***
	(7.9402)	(8.0159)	(−4.9327)	(−4.7443)
Lev	0.0308***	0.0307***	0.3258***	0.3253***
	(9.8658)	(9.8431)	(33.7579)	(33.7609)
Roa	0.0707***	0.0704***	−0.1671***	−0.1699***
	(6.4571)	(6.4377)	(−7.0887)	(−7.1908)
Growth	0.0006	0.0005	−0.0022**	−0.0022**
	(1.3418)	(1.3241)	(−2.3653)	(−2.3827)
Tangible	0.0018	0.0018	0.0740***	0.0743***
	(0.5347)	(0.5261)	(6.9299)	(6.9686)
Top1	−0.0184***	−0.0184***	0.0056	0.0046
	(−5.3035)	(−5.3064)	(0.5044)	(0.4204)
Insown	−0.0054**	−0.0054**	−0.0367***	−0.0356***
	(−2.3227)	(−2.3127)	(−5.2313)	(−5.0458)
Inddirector	0.0073	0.0075	0.0216	0.0229
	(0.8128)	(0.8426)	(0.7606)	(0.8083)
Board	−0.0118***	−0.0117***	−0.0007	0.0000
	(−4.2236)	(−4.1821)	(−0.0762)	(0.0023)
Dual	0.0027***	0.0027***	0.0070**	0.0070**
	(2.6790)	(2.7088)	(2.2981)	(2.3084)
Constant	0.0272**	0.0262*	0.1830***	0.1733***
	(2.0246)	(1.9545)	(4.4184)	(4.1761)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Adj.R^2	0.2522	0.2521	0.3832	0.3841
N	10,778	10,778	15,899	15,899

Note: This table examines the financing channel by investigating the association between common institutional ownership and equity financing costs (*Peg*) and short-term loan dependency (*Sld*). Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

Table 7
Mechanism analysis: Operating channel.

Variable	(1)	(2)	(3)	(4)
	AT	AT	RD	RD
Crossdum	0.0388*		0.1904***	
	(1.8864)		(3.0525)	
Crossnum		0.0538*		0.2529***
		(1.6809)		(2.7102)
TobinQ	−0.0056	−0.0057	0.0647**	0.0647**
	(−1.0271)	(−1.0308)	(2.5399)	(2.5360)
Size	−0.0207**	−0.0208**	−0.0522*	−0.0522*
	(−2.4832)	(−2.5062)	(−1.8485)	(−1.8418)
Lev	0.4934***	0.4940***	−0.5318***	−0.5294***
	(10.5315)	(10.5530)	(−4.0106)	(−3.9888)
Roa	1.0325***	1.0343***	4.1138***	4.1187***
	(9.4287)	(9.4729)	(10.5392)	(10.5567)
Growth	−0.0226***	−0.0225***	0.0011	0.0013
	(−6.9235)	(−6.9105)	(0.1049)	(0.1272)
Tangible	−0.0408	−0.0406	−0.6516***	−0.6501***
	(−0.7443)	(−0.7415)	(−4.1744)	(−4.1620)
Top1	0.1885***	0.1884***	−0.0801	−0.0825
	(3.5342)	(3.5270)	(−0.4740)	(−0.4879)
Insown	0.1337***	0.1340***	−0.1175	−0.1134
	(4.0987)	(4.1140)	(−0.9460)	(−0.9110)
Inddirector	−0.1407	−0.1424	0.7416*	0.7341*
	(−1.1396)	(−1.1524)	(1.7752)	(1.7574)
Board	−0.0141	−0.0149	0.2654*	0.2622*
	(−0.3557)	(−0.3752)	(1.8493)	(1.8288)
Dual	−0.0165	−0.0167	0.1725***	0.1711***
	(−1.1752)	(−1.1928)	(3.1881)	(3.1580)
Constant	0.8049***	0.8102***	1.8506***	1.8645***
	(4.2000)	(4.2392)	(2.7105)	(2.7189)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Adj.R^2	0.2753	0.2752	0.4014	0.4010
N	16,590	16,590	16,590	16,590

Note: This table examines the operating channel by investigating the association between common institutional ownership and total asset turnover (*AT*) and R&D investment (*RD*). Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

in inhibiting corporate financial investment is stronger in less competitive industries.

6.3. Impact of future-oriented regional culture

A future-oriented regional culture encourages firms to prioritize long-term productive investment over speculative financial investment. Therefore, in regions with higher future orientation, firms may be more willing to engage in long-term investment (Xu et al., 2024). Thus, we propose that future-oriented regional culture could alleviate myopic investment in financial assets and thus exacerbate the negative impact of common institutional ownership. We employ the future orientation indicator (*FO*) proposed by Zhao et al. (2015) to evaluate the degree of long-term time preference among firms in each province. We define $HighFO = 1$ if a province's FO index exceeds the median in a given year. Table 10 shows that the coefficients on *Crossdum* × *HighFO* and *Crossnum* × *HighFO* are significantly negative. Therefore, the role of common institutional ownership in inhibiting corporate financial investment is more pronounced among provinces with stronger future orientation.

6.4. Economic consequence: future corporate core performance

Thus far, we have shown that common institutional ownership significantly inhibits the growth rate of corporate financial investment. Prior studies have shown that financialization harms corporate profitability and operating performance through crowding-out effects (Davis, 2017; Xu and Xuan, 2021). Financial investment diverts funds away from core business activities due to limited corporate resources (Tori and Onaran, 2018). When firms pursue financial assets primarily for arbitrage, managers may expand investment in high short-term return financial sectors at the expense of core operations, hindering long-term development (Lyu et al., 2023). Thus, we investigate whether common institutional ownership can mitigate the dampening effect of financialization on future corporate core performance.

According to Xu and Xuan (2021), we use the return from core business activities to capture corporate core performance (*Coreperf*). A higher *Coreperf* indicates stronger profitability of core business. We use the following regressions to test how common institutional ownership affects the relationship between financialization and future corporate core performance:

Table 8
Additional tests: Impact of corporate diversified strategies.

Variable	(1)	(2)
	Fingrowth	*Fingrowth*
Crossdum	−0.1367***	
	(−3.2774)	
Crossdum × Dyh	0.0871*	
	(1.9224)	
Crossnum		−0.2185***
		(−4.1702)
Crossnum × Dyh		0.1470**
		(2.5613)
Dyh	−0.0548**	−0.0569**
	(−2.3310)	(−2.4305)
TobinQ	0.0074	0.0075
	(0.9612)	(0.9740)
Size	0.0052	0.0057
	(0.6968)	(0.7578)
Lev	−0.1026**	−0.1031**
	(−2.2446)	(−2.2512)
Roa	0.8913***	0.8869***
	(5.6004)	(5.5625)
Growth	0.0053	0.0052
	(0.9419)	(0.9250)
Tangible	0.0740	0.0744
	(1.5200)	(1.5285)
Top1	0.0346	0.0335
	(0.6728)	(0.6520)
Insown	−0.0752*	−0.0744*
	(−1.9004)	(−1.8778)
Inddirector	0.0972	0.1010
	(0.7437)	(0.7719)
Board	−0.0430	−0.0414
	(−1.1355)	(−1.0937)
Dual	0.0521***	0.0525***
	(2.8806)	(2.9043)
Constant	0.2407	0.2263
	(1.3814)	(1.2859)
Year FE	Yes	Yes
Industry FE	Yes	Yes
Adj.R^2	0.0188	0.0189
N	14,629	14,629

Note: This table reports the results of the impact of corporate diversified strategies on the relationship between common institutional ownership and financial investment. Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

$$Coreperf_{i,t} = \beta_0 + \beta_1 Finratio_{i,t-1} + \beta_c Contols_{i,t-1} + Year_t + Ind_i + \varepsilon_{i,t} \quad (3)$$

$$Coreperf_{i,t} = \beta_0 + \beta_1 Finratio_{i,t-1} + \beta_2 Finratio_{i,t-1} \times Crossdum_{i,t-1}\left(Crossnum_{i,t-1}\right) + \beta_3 Crossdum_{i,t-1}\left(Crossnum_{i,t-1}\right) + \beta_c Contols_{i,t-1} + Year_t + Ind_i + \varepsilon_{i,t} \quad (4)$$

where *Coreperf* measures corporate core performance. *Finratio* denotes the ratio of financial assets to total assets.

Column (1) of Table 11 reports the results of Eq. (3) and shows that the coefficient on *Finratio* is significantly negative, indicating that corporate financialization harms future core performance. Columns (2) and (3) report the results of Eq. (4) and show that the coefficients on *Finratio* × *Crossdum* and *Finratio* × *Crossnum* are significantly positive at the 5 % level. These findings suggest that common institutional ownership alleviates the negative impact of financialization on future corporate core performance.

Table 9
Additional tests: Impact of industry competition.

Variable	(1)	(2)
	Fingrowth	*Fingrowth*
Crossdum	−0.0454***	
	(−2.7751)	
Crossdum × HighHHI	−0.0745**	
	(−1.9863)	
Crossnum		−0.0696***
		(−2.8502)
Crossnum × HighHHI		−0.1016*
		(−1.9078)
HighHHI	−0.0026	−0.0034
	(−0.1200)	(−0.1588)
TobinQ	0.0073	0.0074
	(0.9894)	(1.0017)
Size	0.0066	0.0071
	(0.9316)	(0.9942)
Lev	−0.1153***	−0.1162***
	(−2.7263)	(−2.7477)
Roa	0.8485***	0.8424***
	(5.8099)	(5.7552)
Growth	0.0053	0.0052
	(1.0234)	(1.0050)
Tangible	0.1074**	0.1075**
	(2.4172)	(2.4170)
Top1	0.0444	0.0437
	(0.9130)	(0.8981)
Insown	−0.0747**	−0.0739*
	(−1.9820)	(−1.9551)
Inddirector	0.0812	0.0839
	(0.6602)	(0.6818)
Board	−0.0533	−0.0520
	(−1.5000)	(−1.4610)
Dual	0.0488***	0.0491***
	(2.8520)	(2.8732)
Constant	0.1827	0.1678
	(1.1154)	(1.0164)
Year FE	Yes	Yes
Industry FE	Yes	Yes
Adj.R^2	0.0171	0.0171
N	16,582	16,582

Note: This table reports the results of the impact of industry competition on the relationship between common institutional ownership and financial investment. Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

7. Conclusion

Corporate financialization has accelerated through the rising shares of financial assets held by firms. Although moderate financial investment offers liquidity and economic returns for non-financial firms, excessive corporate financialization can divert firms from core business, ultimately hindering sustainable growth and financial stability.

Given the growing influence of financial institutions and the expansion of cross-holdings among institutional investors, this study investigates how common institutional ownership affects corporate financial investment using Chinese listed firms from 2009 to 2022. First, this study provides evidence that common institutional ownership significantly reduces corporate financial investment, which still holds

Table 10
Additional tests: Impact of future-oriented regional culture.

Variable	(1)	(2)
	Fingrowth	*Fingrowth*
Crossdum	−0.0219	
	(−1.0056)	
Crossdum × HighFO	−0.0543**	
	(−2.0022)	
Crossnum		−0.0406
		(−1.2795)
Crossnum × HighFO		−0.0735*
		(−1.8673)
HighFO	0.0294**	0.0280**
	(2.1523)	(2.0658)
TobinQ	0.0070	0.0071
	(0.9452)	(0.9631)
Size	0.0054	0.0060
	(0.7654)	(0.8488)
Lev	−0.1124***	−0.1138***
	(−2.6656)	(−2.6970)
Roa	0.8478***	0.8414***
	(5.7886)	(5.7365)
Growth	0.0055	0.0054
	(1.0664)	(1.0454)
Tangible	0.1059**	0.1061**
	(2.3807)	(2.3850)
Top1	0.0436	0.0428
	(0.8973)	(0.8815)
Insown	−0.0734*	−0.0723*
	(−1.9455)	(−1.9086)
Inddirector	0.0808	0.0824
	(0.6599)	(0.6725)
Board	−0.0560	−0.0544
	(−1.5749)	(−1.5300)
Dual	0.0488***	0.0492***
	(2.8589)	(2.8814)
Constant	0.1956	0.1785
	(1.2062)	(1.0900)
Year FE	Yes	Yes
Industry FE	Yes	Yes
Adj.R^2	0.0172	0.0172
N	16,590	16,590

Note: This table reports the results of the impact of future-oriented regional culture on the relationship between common institutional ownership and financial investment. Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

Table 11
Economic consequence: Future corporate core performance.

Variable	(1)	(2)	(3)
	Coreperf	Coreperf	Coreperf
Finratio	−0.0666***	−0.0729***	−0.0734***
	(−7.3368)	(−7.8113)	(−7.8865)
Finratio × Crossdum		0.0531**	
		(2.2161)	
Finratio × Crossnum			0.0944**
			(2.5307)
Crossdum		−0.0125***	
		(−4.6961)	
Crossnum			−0.0207***
			(−4.9051)
TobinQ	0.0077***	0.0079***	0.0079***
	(8.0353)	(8.1765)	(8.2072)
Size	0.0123***	0.0129***	0.0130***
	(12.0929)	(12.6230)	(12.7485)
Lev	−0.1253***	−0.1250***	−0.1250***
	(−23.9224)	(−23.9892)	(−24.0015)
Growth	0.0003	0.0003	0.0002
	(0.4508)	(0.4466)	(0.4226)
Tangible	−0.0321***	−0.0306***	−0.0305***
	(−5.6083)	(−5.3756)	(−5.3589)
Top1	0.0273***	0.0248***	0.0245***
	(4.2140)	(3.8572)	(3.7915)
Insown	0.0338***	0.0364***	0.0367***
	(8.0669)	(8.6617)	(8.7142)
Inddirector	−0.0551***	−0.0536***	−0.0530***
	(−3.6801)	(−3.5760)	(−3.5273)
Board	−0.0010	−0.0006	−0.0004
	(−0.1964)	(−0.1320)	(−0.0821)
Dual	0.0036**	0.0034*	0.0034*
	(1.9953)	(1.8496)	(1.8623)
Constant	−0.1939***	−0.2069***	−0.2102***
	(−8.7413)	(−9.2974)	(−9.4322)
Year FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
Adj.R^2	0.1871	0.1895	0.1900
N	16,466	16,466	16,466

Note: This table reports the results of the effect of common institutional ownership on the relation between corporate financialization and future corporate core performance. Standard errors are clustered by firm with *t*-statistics in parentheses. ***, **, and * represent significance at 0.01, 0.05, and 0.1, respectively.

after endogeneity tests and robustness checks. Moreover, this study explores how common institutional ownership influences corporate investment structure. The findings indicate that common institutional ownership prompts corporate investment bias toward real investment. Second, mechanism tests reveal two channels:

- Strengthened financing capacity through lower equity financing costs and reduced short-term loan reliance, and
- Improved business operations through enhanced operational efficiency and innovation.

Third, further heterogeneity tests indicate that the inhibitory effect is more pronounced among single-segment firms, firms in less competitive industries, and firms in more future-oriented regions. Additionally, common institutional ownership mitigates the adverse effects of financialization on future corporate core performance, underscoring its positive role in real economic development.

This study has theoretical contributions to the extant literature. This study expands research literature on factors influencing corporate financial investment, enriches the understanding of mechanisms that curb financialization, and provides empirical evidence on the positive economic implications of common institutional ownership. Meanwhile, this study provides practical implications for firms and policymakers, highlighting the role of common institutional ownership in promoting real economic development. First, firms should proactively introduce common institutional ownership to strengthen financing capacity and enhance operations. Especially for single-segment firms, common institutional ownership plays a crucial role in reducing corporate dependence on financial investment. Managers pursuing long-term development should maintain strong communication with common institutional investors to improve investment decisions and bolster core business performance.

Second, this study reveals that the effect of common institutional ownership varies across industries and regions. Its stronger impact in less competitive industries indicates that it serves as a valuable governance mechanism where product market discipline is weak. Policymakers should reinforce complementary governance channels—such as public participation and environmental, social, and governance (ESG) evaluation—to supplement insufficient market governance. Because the effect of common institutional ownership weakens in regions with lower future orientation, regulators should appropriately relax investment barriers and develop long-term evaluation systems to encourage value-oriented strategies that foster long-term development.

Third, the findings underscore that common institutional ownership can effectively mitigate the crowding-out effect of financial investment on corporate core business. Given its positive role in corporate operations and economic development, authorities should encourage common institutional investors to participate more actively in corporate

governance through board and management channels. Policymakers should also promote incentives that support corporate innovation and long-term investment. In addition, the government should implement expansionary fiscal policies—such as tax breaks, fee reductions, and subsidies—to reduce operating costs and strengthen the profitability of real investment.

Funding sources

This work was supported by the National Natural Science Foundation of China [grant number 72273099].

Declaration of competing interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

Acknowledgments

The authors sincerely thank Prof. Oleksandr Talavera, the associate editor, the copy editor, and two anonymous reviewers for their invaluable comments and constructive suggestions. All remaining errors and/or omissions are the sole responsibility of the authors.

Appendix. Variables definition

Variables	Definitions
Dependent	
Fingrowth	Growth rate of financial assets = first-order difference of Ln [Financial assets] 2009–2018 Financial assets = Tradings + Derivatives + Net loans and advances granted + Net available-for-sale + Net held-to-maturity investments + Net investment property + Long-term net equity investments 2019–2018 Financial assets = Tradings + Derivatives + Net loans and advances granted + Other debt + Other equity instruments + Debt investments + Net investment property + Long-term net equity investments
Vtr	First-order differences of (Real assets/Total assets) and (Financial assets/Total assets) Incorporates conditions only when differences are opposite signs
Finratio	Financial assets/Total assets
Independent	
Crossdum	= 1 if the firm is held by at least one common institutional investor in any quarter of the year, and 0 otherwise
Crossnum	The natural logarithm of one plus the quarterly average number of common institutional investors in a year
Crossown	The quarterly average shareholding ratios of all common institutional investors in a year
Control	
TobinQ	Market value/Total assets
Size	The natural logarithm of total assets
Lev	Total debt/Total assets
Roa	Net income/Total assets
Growth	Annual growth rate in operating revenues
Tangible	Tangible assets/Total assets
Top1	%Total shares held by largest shareholder
Insown	%Total shares held by institutional investors
Inddirector	%Total shares held by independent directors
Board	The natural logarithm of the total number of directors on the board of a firm
Dual	= 1 if the chairman and CEO are the same individual, and 0 otherwise
Other	
Proratio	The number of firms with common institutional investors/The total number of firms located within the same province
Peg	The square root of the inverse of the price-earnings ratio scaled by an earnings growth rate
Sld	[Short-term borrowings + Long-term borrowings (due within 1 year)]/Total assets
AT	Sales/Total assets
RD	R&D investment/Total assets
Dyh	= 1 if a firm operates in at least two industries, and 0 otherwise
HighHHI	= 1 if an industry's Herfindahl-Hirschman index is above the index median of all industries in a given year, and 0 otherwise
FO	"Future orientation" indicator proposed by Zhao et al. (2015), describing the extent to which the community motivates its citizens to adopt future-oriented behaviors (i.e., planning, future investment, and defer satisfaction)
HighFO	= 1 if a province's *FO* index is above the index median of all provinces in a given year, and 0 otherwise
Coreperf	(Operating income − Investment income − Gain from fair value changes + Investment income from associates and joint ventures)/Total assets

Data availability

The data is available at https://doi.org/10.17632/mzsbnmmbh9.1.

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